



Entrepreneurship Skills- Feasibility Study Startup (IDE)

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Idea Assessment



- Once entrepreneurs develop ideas for new businesses, the next step is to assess these ideas. **An idea assessment** is the process of examining a need in the market, developing a solution for that need, and determining the entrepreneur's ability to successfully turn the idea into a business.
- After identifying the most promising idea using the idea assessment process, the entrepreneur subjects it to a **feasibility analysis** to determine whether they can transform the idea into a viable business.
- **A feasibility analysis is the process of determining whether an entrepreneur's idea is a viable foundation for creating a successful business.** Its purpose is to determine whether a business idea is worth pursuing. A feasibility study answers the question, "Should we proceed with this business idea?" Its role is to serve as a filter, screening out ideas that lack the potential for building a successful business, before an entrepreneur commits the necessary resources to develop and test a business model or to build a business plan.
- A feasibility study primarily is an investigative tool. It is designed to give an entrepreneur a picture of the market and the sales and profit potential of a particular business idea

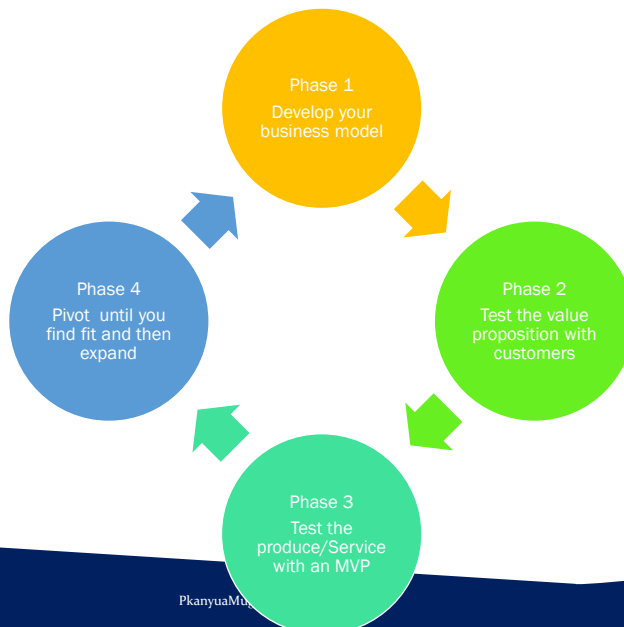
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After the Feasibility Study-Innovative Concept



- Without existing market data, it might be difficult to gauge the feasibility of your concept using the tool that looks at four aspects.
 - an industry and market feasibility analysis,
 - a product or service feasibility analysis,
 - a financial feasibility analysis,
 - and an entrepreneur feasibility analysis
- For innovative concepts, you have to test by doing. This means, you leave the building, interact with customers to confirm the problem exists, come up with a scaled down solution, take the solution to the customer, get feedback, make changes to the solution and keep doing this until you are certain you have created a product/service that meets the need of the customer.

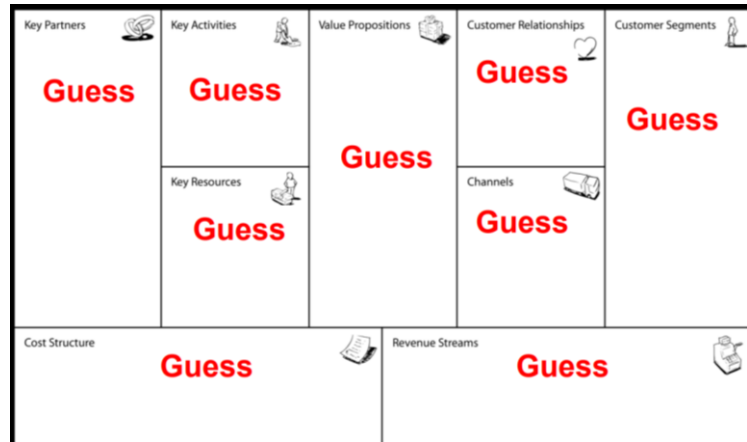
After the Feasibility Study-Testing your BM



Testing your Business Model



- **Phase 1- Develop your business model.**
- Complete your canvas. You write out the hypotheses embodied in your company's vision.
- These hypotheses are the assumptions about your product, customers, pricing, demand, market, and competition that you will test in the remainder of this step. (product or service assumptions and Business model assumptions)



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Testing your Business Model



- Phase 2.
- The second phase in designing the business model is to test the problem that the team thinks the business solves through its core value proposition. This is best done with primary research data. That means the entrepreneurial team must “get out of the office” and test the model with real customers. By engaging potential customers early in the development of a new business and listening to what they have to say, the team has a much better chance of developing a business model that will attract customers. By engaging with real customers, the entrepreneurial team asks the following questions.
 - Do we really understand the customer problem the business model is trying to address?
 - Do these customers care enough about this problem to spend their hard-earned money on our product?
 - Do these customers care enough about our product to help us by telling others through word-of-mouth?
- *By answering these questions the entrepreneur assesses the actual need for the product and the intensity of that need.*

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Testing your Business Model



- **The third phase** is to test the solution to the problem in the market. One technique to test the solution offered by the business model involves business prototyping, in which entrepreneurs test their business models on a small scale before committing significant resources to launch a business that might not work.
- Business prototyping recognizes that every business idea is a hypothesis that must be tested before an entrepreneur takes it to full scale. If the test supports the hypothesis and its accompanying assumptions, the entrepreneur takes the next step of building a business plan. If the prototype flops, the entrepreneur scraps the business idea with only minimal losses and turns to the next idea.
- *The Internet is a valuable business prototyping tool because it gives entrepreneurs easy and inexpensive access to real live potential customers.*

Testing your Business Model



- **The fourth phase** of designing a business model is to make changes and adjustments in the business, called pivots, based on what the entrepreneur learns from engaging the market about the problem and the solution that the new business intends to pursue. Some pivots may be subtle adjustments to the business model, while others may be fundamental changes to key parts of the model, including in the value proposition, markets served, or ideal revenue streams.
- There are three major types of pivots
- Product pivot. The features that make up a product may not match what the customer really wants or needs. Sometimes the entrepreneur adds features that are not really important to the customer. Although customers may be willing to accept these features as part of the product, they are not willing to pay extra for them. On the other hand, sometimes the entrepreneur does not offer enough features to fully address the customers' problem. In this situation, the entrepreneur must add the additional features the customer expects.

Testing your Business Model



Customer pivot. Although a product might solve a real market problem or need, sometimes the initial business model targets the wrong customer segment or even the wrong market. For example, PayPal targeted the handheld device market that included the Palm Pilot for its electronic payment system. However, the founders of PayPal soon realized by listening to customer feedback that there was a much larger market for its product. Businesses were beginning to engage in commerce on their Web sites. PayPal pivoted its business model and as a result rapidly grew to become a \$1.6 billion company facilitating Internet commerce

Revenue model pivot. There are many ways in which the revenue model may pivot. One of the most basic revenue decisions is whether to use a high margin/low volume model or low margin/high volume model. Other revenue model pivots change the type of payment received. The model may change from a single payment to recurring revenue, or it may shift from hourly billing to charging a fixed price per service. Social entrepreneurs can pivot from a revenue model based on a nonprofit that raises money through grants and donations to a social enterprise that generates revenues from a product or service

Testing your Business Model



- Several pivots may also be necessary for a business model around operational aspects of the business, including promotion, distribution, staffing, or outsourcing.